

Corporate Dividends

Corporate Decisions

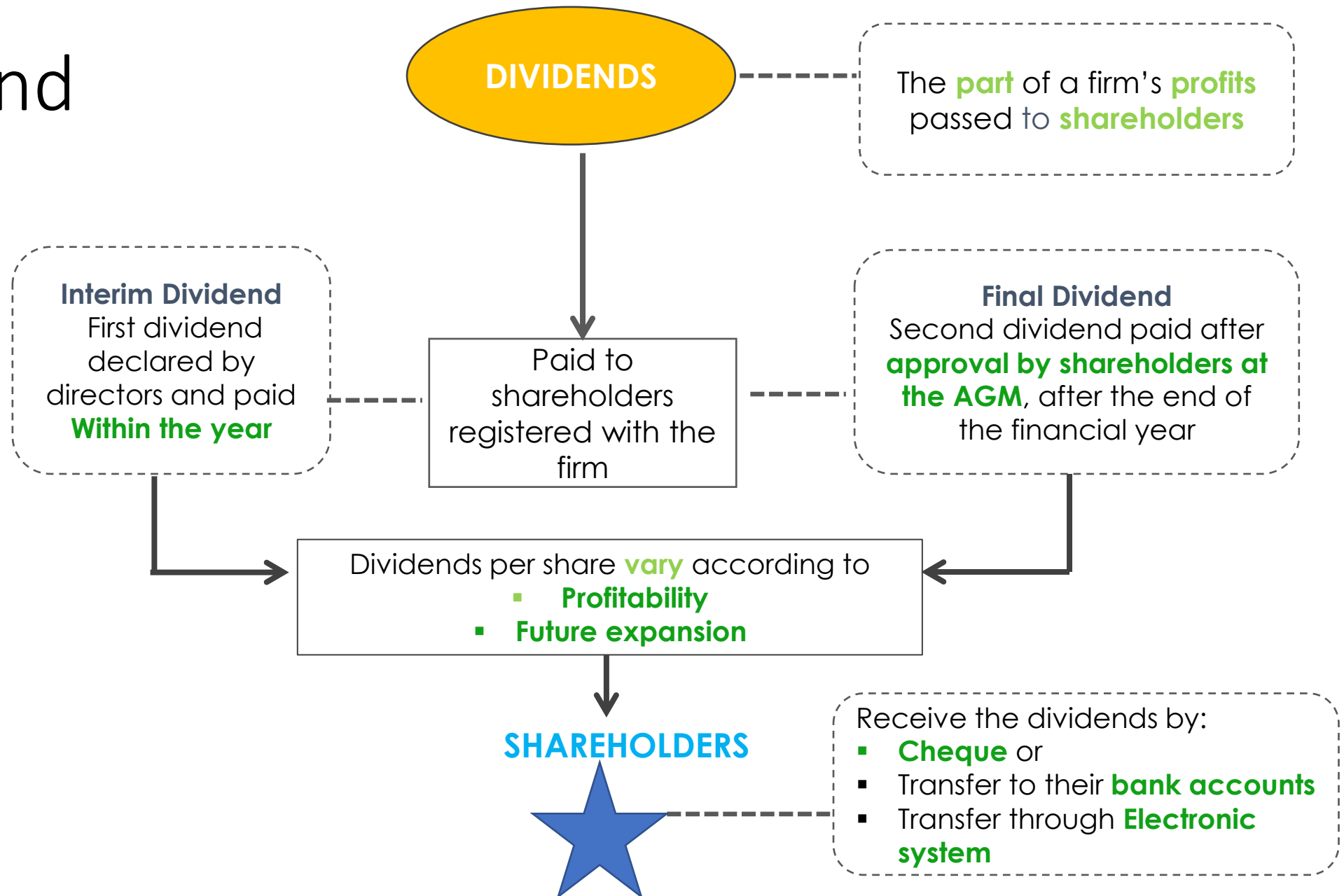
- Firm's activity affects its investors
- Corporate decisions are generally agreed upon by the board of directors before being authorised by shareholders

Mandatory Events	Mandatory Events (With Options)	Voluntary Events
Investor has no choice	Investors can exercise their choice	Investors have a choice
Obligatory: mandated by the firm. Do not require any intervention from investors	Default option is given to investors if they choose not to intervene by a specified date	A decision must be made to choose between options presented to investors
Dividend, Bonus shares	Rights shares	Mergers, Take-over

Corporate Events

Firm's Activity	Description	Category
Dividend payment	Shareholders receive payments (sometimes multiple times within a year) based on firm's profits	Mandatory
Bonus/ Capitalisation issue	The Board issues new shares to existing shareholders (free) to increase liquidity of shares so that the share price falls.	Mandatory
Rights issue	The Board issues new shares to existing shareholders (First option) at a discount to their market price to raise finance	Mandatory with options
Merger	Two firms agree to merge their interest to form one larger firm	Voluntary
Take-over	A firm bids for a target entity and aims to buy the majority of shares in the target. A take-over can either be friendly (target shareholder approval) or hostile (target shareholder reject)	Voluntary

Dividend



Dividend Payment

SHAREHOLDERS



Shares are bought and sold with the right to **receive the next declared dividend up to the date shortly before the dividend payment is made.**

Cum-dividend (with)

If the shares are purchased cum-dividend, the purchaser **will receive the declared dividend.**

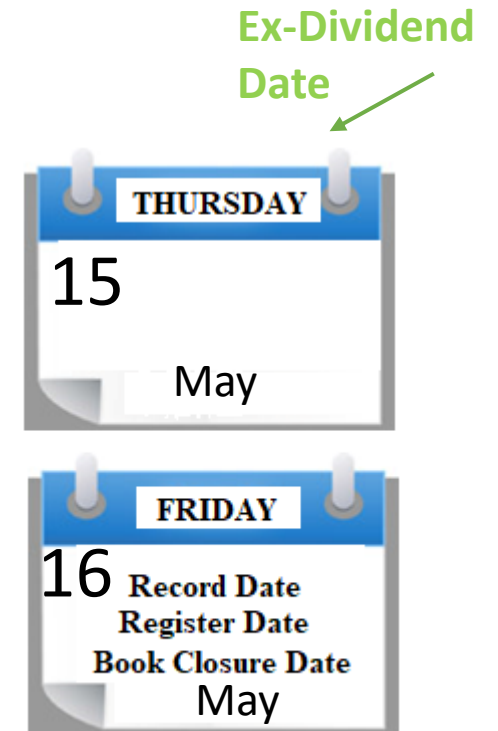
Ex-dividend (without)

Between the declaration date and the dividend payment date (stock exchange), the shares trade ex-dividend. **Buyers of shares are not entitled to the declared dividend.**

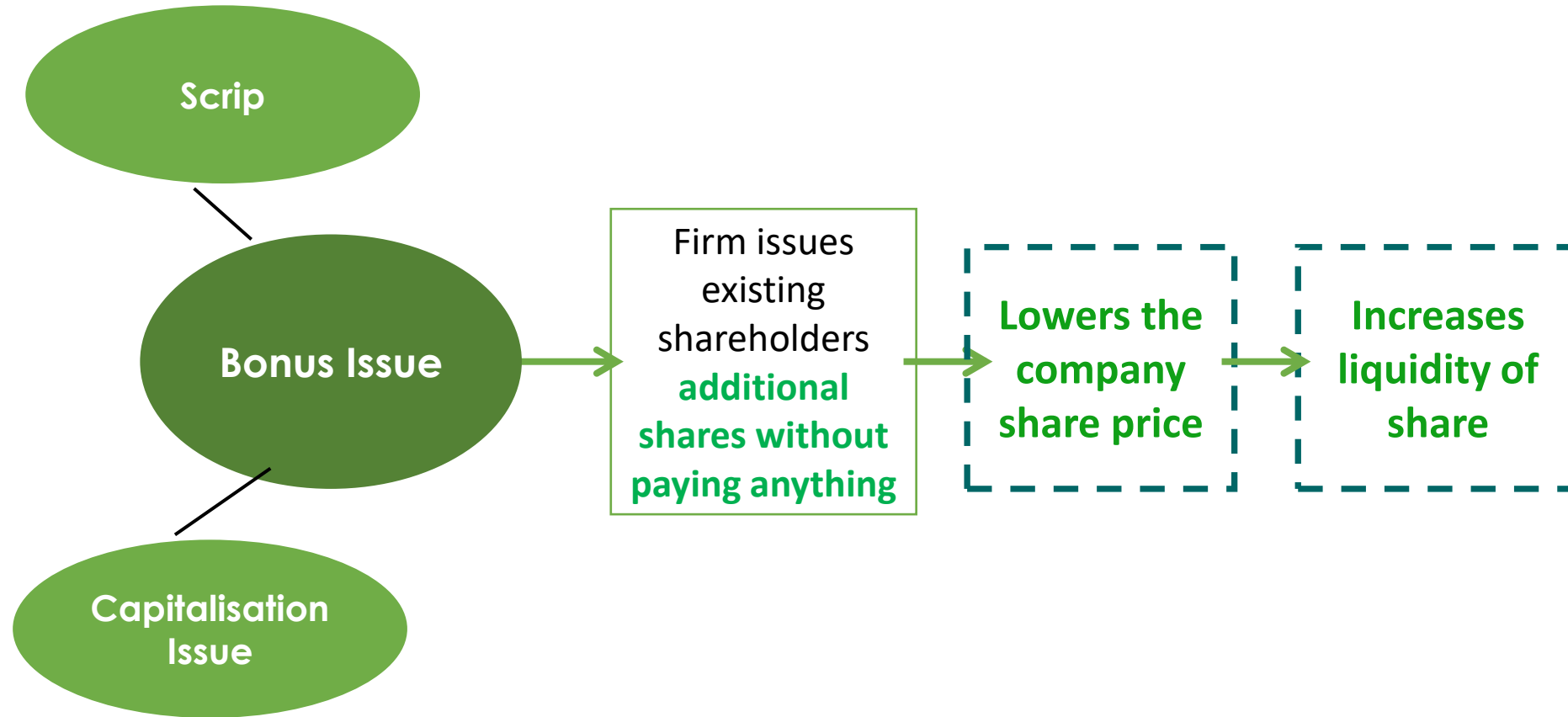
Standard settlement period is **T+0**
(A trade will be settled **on same business day** after it is executed)

Cum Vs. Ex Dividend

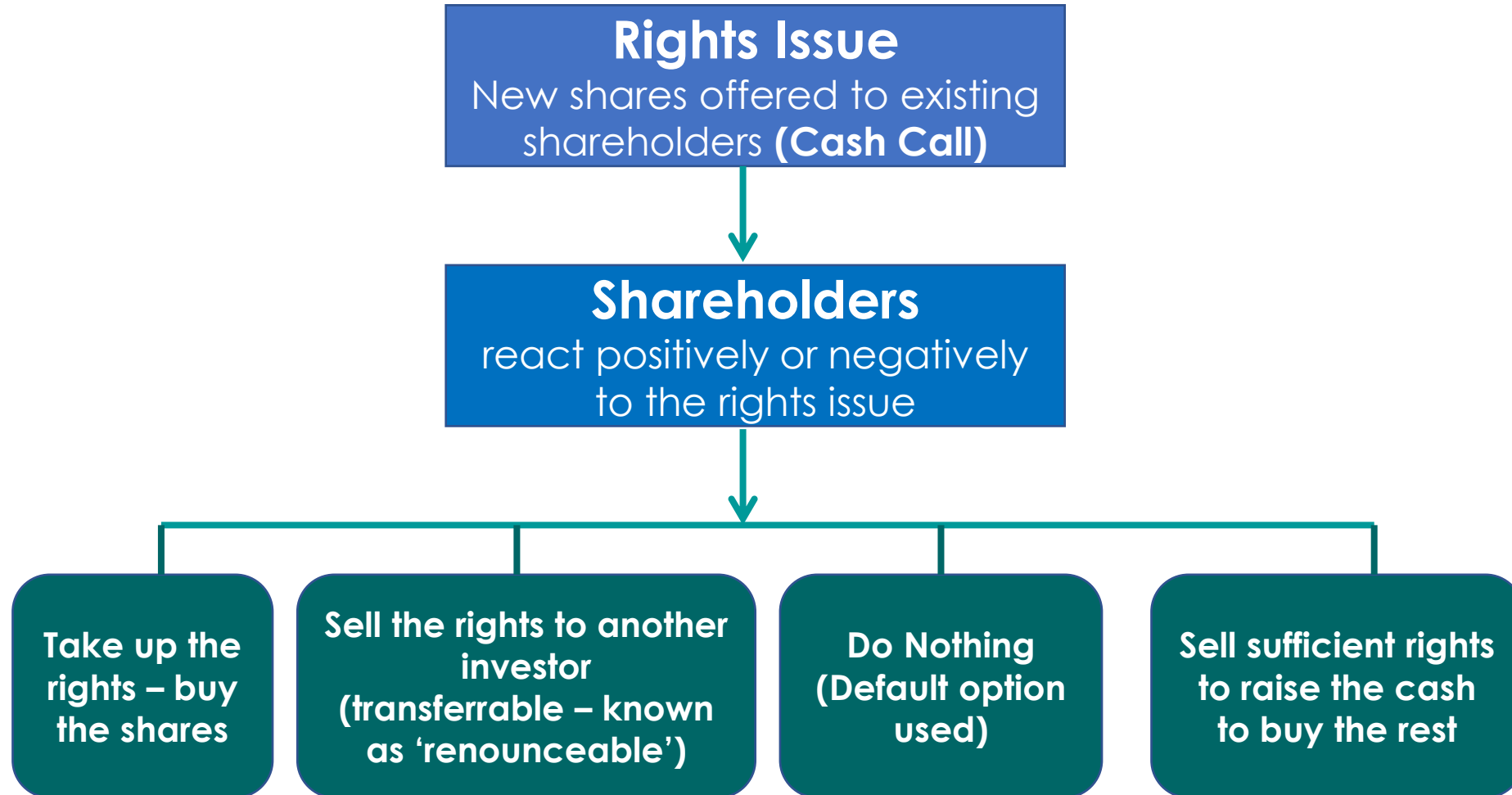
- Firm calculates its interim profits and decides to pay a dividend of **2.5 per share**.
- Firm announces ('declares') the dividend on 4th April and states that it will be **due to those shareholders who are entered on the shareholders' register on Friday 16 May (Record date, register date or books closure date)**.
- Given the record date of Friday 16 May, the **Exchange sets the ex-dividend date as Thursday 15 May**.
- On this day, the shares will trade ex-dividend and should **fall in price by 2.5 per share**. This is because any new buyers of the firm's shares will not be entitled to the dividend.
- Actual payment of the dividend could be made to those shareholders on the register at the record date at a later specified date, example: Saturday 24 May.



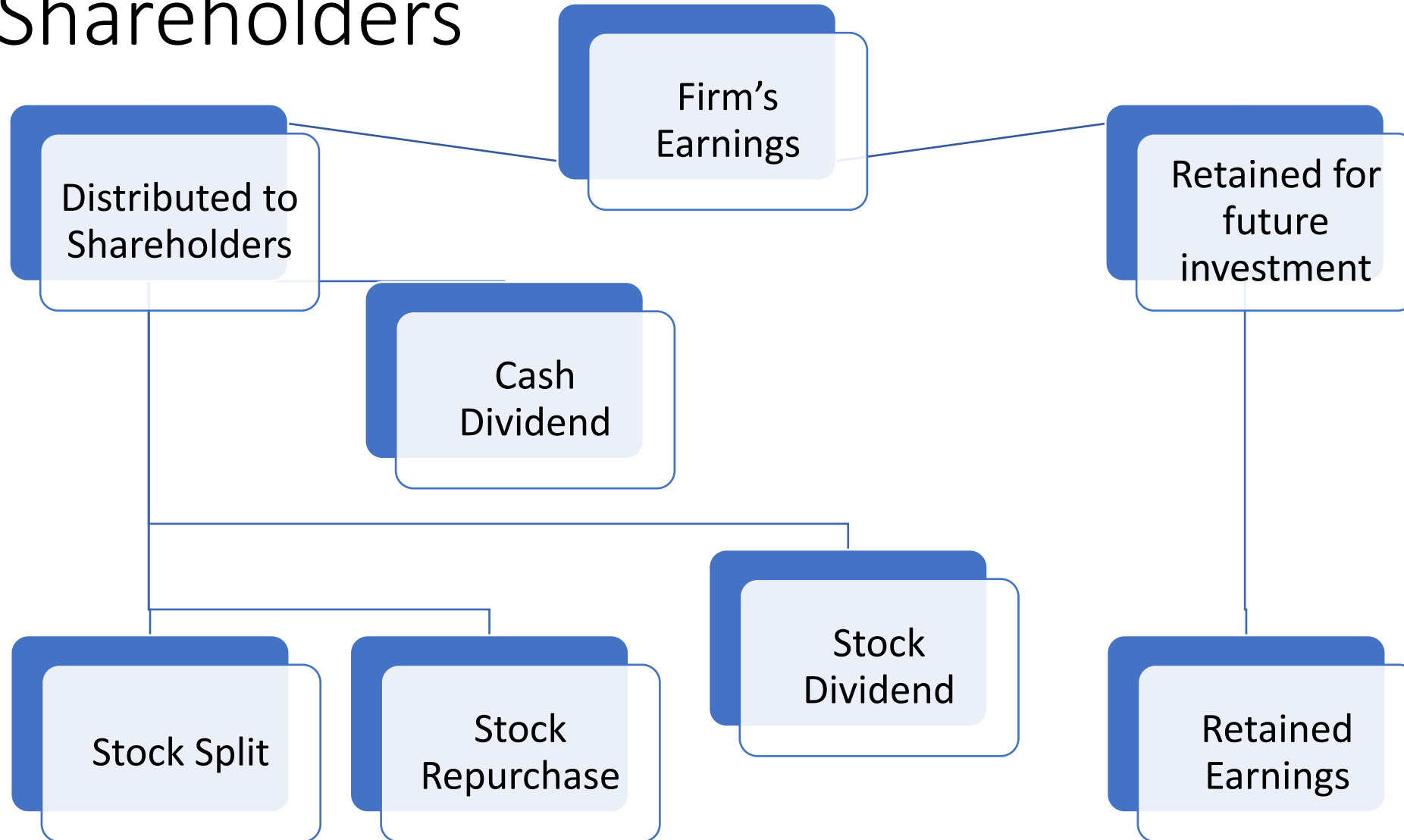
Bonus Issues



Rights Issue



Forms of Earnings Distribution to Shareholders



Stock Repurchase

- Distribution of excess funds by repurchase of shares
- Method of paying a firm's earnings to shareholders that provides preferable tax treatment than dividends

<i>Assets</i>		<i>Liabilities & Equity</i>	
A. Balance sheet			
Cash	150,000	Debt	0
Other Assets	850,000	Equity	1,000,000
Value of Firm	1,000,000	Value of Firm	1,000,000

Shares outstanding = 100,000

Price per share = $1,000,000 / 100,000 = 10$

<i>Assets</i>		<i>Liabilities & Equity</i>	
B. After stock repurchase			
Cash	50,000	Debt	0
Other Assets	850,000	Equity	900,000
Value of Firm	900,000	Value of Firm	900,000

Shares outstanding = 90,000

Price per share = $900,000 / 90,000 = 10$

Repurchase Vs. Dividend

Assets

Liabilities & Equity

B. After 1 per share cash dividend

Cash	50,000	Debt	0
Other Assets	850,000	Equity	900,000
Value of Firm	900,000	Value of Firm	900,000

Shares outstanding = 100,000

Price per share = $900,000 / 100,000 = 9$

Stock Repurchase Implications

- Repurchase has a significant tax advantage over a cash dividend.
- Dividend is fully taxed as ordinary income, and a shareholder has no choice on receipt of dividend.
- In a repurchase, a shareholder pays taxes only if:
 - The shareholder sell
 - The shareholder has a capital gain on the sale (only on profit)
- There must be some business-related reason for repurchasing.

Stock Dividends

- Firm pays additional shares instead of cash dividend payment
- A company distributes stock dividend to raise capital, to save tax to the stockholders etc.
- Stock dividends are not taxed until the shares granted are sold by their owner.
- Dividend paid out in shares of stock and expressed as a percentage.
- Effect of a stock dividend is to increase the number of shares for each shareholder (diluting the value of each shares outstanding).
- Stock dividends are given as reinvestment plan.

Stock Split

- Company divides shares by splitting the par value of the share.
- A split takes place in two ways:
 1. Straight split
 - Company increases the number of shares outstanding by reducing the par value
 2. Reverse split
 - Company reduces the number of shares outstanding through merging the par value.
 - Impact: Increase the value of share.
- No change in the shareholder's equity.
- Expressed as a ratio instead of percentage.
- When a split is declared, each share is split-up to create additional shares (3 : 1 stock split, each old share is split into three new shares).

Hewlett-Packard, Inc. (HP) Dividend History

Ex/EFF DATE	TYPE	CASH AMOUNT	DECLARATION DATE	RECORD DATE	PAYMENT DATE
03-12-2024	Cash	\$0.2756	01/30/2024	03/13/2024	04-03-2024
12-12-2023	Cash	\$0.2756	11-07-2023	12/13/2023	01-03-2024
09-12-2023	Cash	\$0.2625	06/21/2023	09/13/2023	10-04-2023
06/13/2023	Cash	\$0.2625	05/15/2023	06/14/2023	07-05-2023
03-07-2023	Cash	\$0.2625	01-11-2023	03-08-2023	04-05-2023
12/13/2022	Cash	\$0.2625	11/22/2022	12/14/2022	01-04-2023
09/13/2022	Cash	\$0.25	06/21/2022	09/14/2022	10-05-2022
06-07-2022	Cash	\$0.25	05/19/2022	06-08-2022	07-06-2022
03-08-2022	Cash	\$0.25	01/13/2022	03-09-2022	04-06-2022
12-07-2021	Cash	\$0.25	11/16/2021	12-08-2021	01-05-2022
09-07-2021	Cash	\$0.1938	06/23/2021	09-08-2021	10-06-2021
06-08-2021	Cash	\$0.1938	05/25/2021	06-09-2021	07-07-2021
02/11/2021	CASH	\$0.25	12/11/2020	02/12/2021	03/01/2021

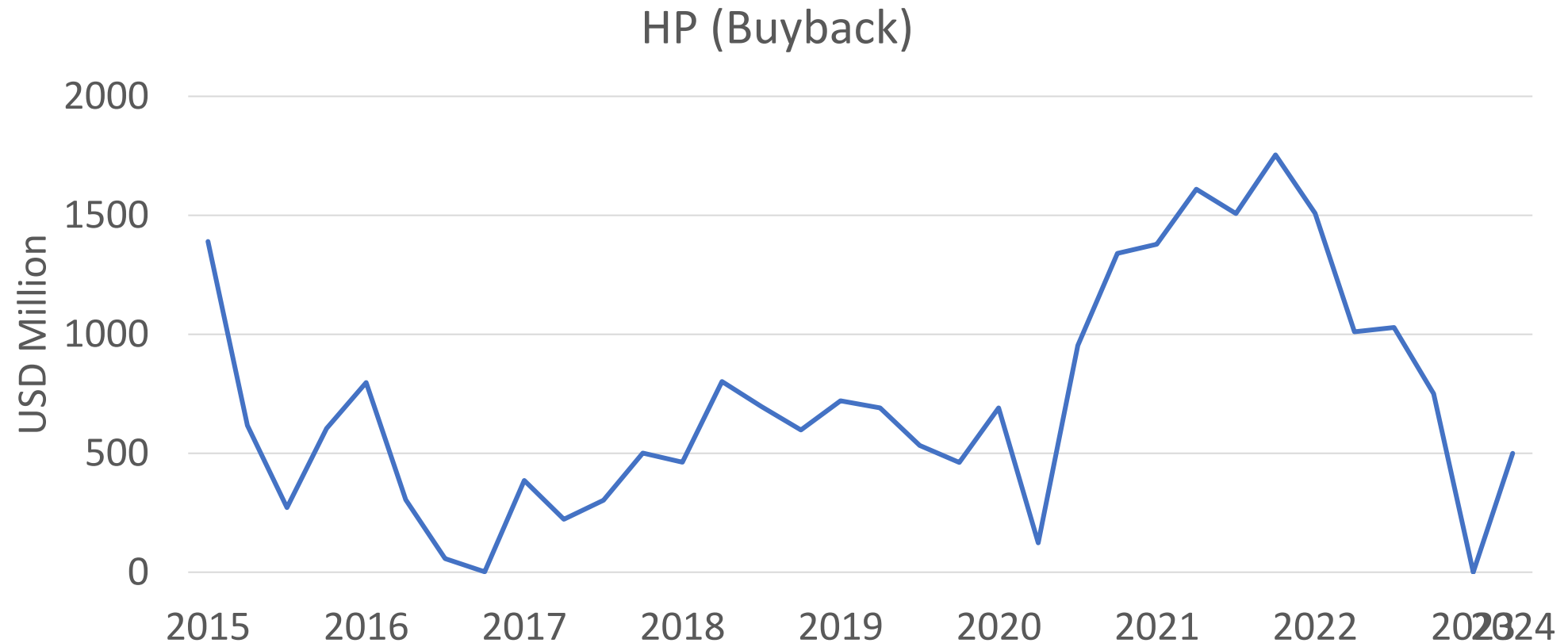
Ex-Dividend Date: 03/12/2024

Annual Dividend USD 1.1024

Dividend Yield 3.98%

HP Buyback History

- 1.34 Billion for Oct. 31, 2020



HP: Stock Split History

Record Date	Stock Event
01-Nov-15	separation of HPE from HPQ
27-Sep-00	2 for 1 split
05-Jun-00	separation of Agilent from HPQ
21-Jun-96	2 for 1 split
24-Mar-95	2 for 1 split
01-Aug-83	2 for 1 split
17-Jun-81	2 for 1 split
27-Jun-79	2 for 1 split
25-Feb-70	2 for 1 split
01-Sep-60	3 for 1 split
06-Nov-57	initial public offering

Microsoft Corporation: Dividend History

Ex/EFF DATE	TYPE	CASH AMOUNT	DECLARATION DATE	RECORD DATE	PAYMENT DATE
05/15/2024	Cash	\$0.75	03-12-2024	05/16/2024	06/13/2024
02/14/2024	Cash	\$0.75	11/28/2023	02/15/2024	03/14/2024
11/15/2023	Cash	\$0.75	09/18/2023	11/16/2023	12/14/2023
08/16/2023	Cash	\$0.68	06/13/2023	08/17/2023	09/14/2023
05/17/2023	Cash	\$0.68	03/14/2023	05/18/2023	06-08-2023
02/15/2023	Cash	\$0.68	11/29/2022	02/16/2023	03-09-2023
11/16/2022	Cash	\$0.68	09/19/2022	11/17/2022	12-08-2022
08/17/2022	Cash	\$0.62	06/14/2022	08/18/2022	09-08-2022
05/18/2022	Cash	\$0.62	03/14/2022	05/19/2022	06-09-2022
02/16/2022	Cash	\$0.62	12-07-2021	02/17/2022	03-10-2022
11/17/2021	Cash	\$0.62	09/14/2021	11/18/2021	12-09-2021
08/18/2021	Cash	\$0.56	06/16/2021	08/19/2021	09-09-2021
05/19/2021	Cash	\$0.56	03/16/2021	05/20/2021	06-10-2021

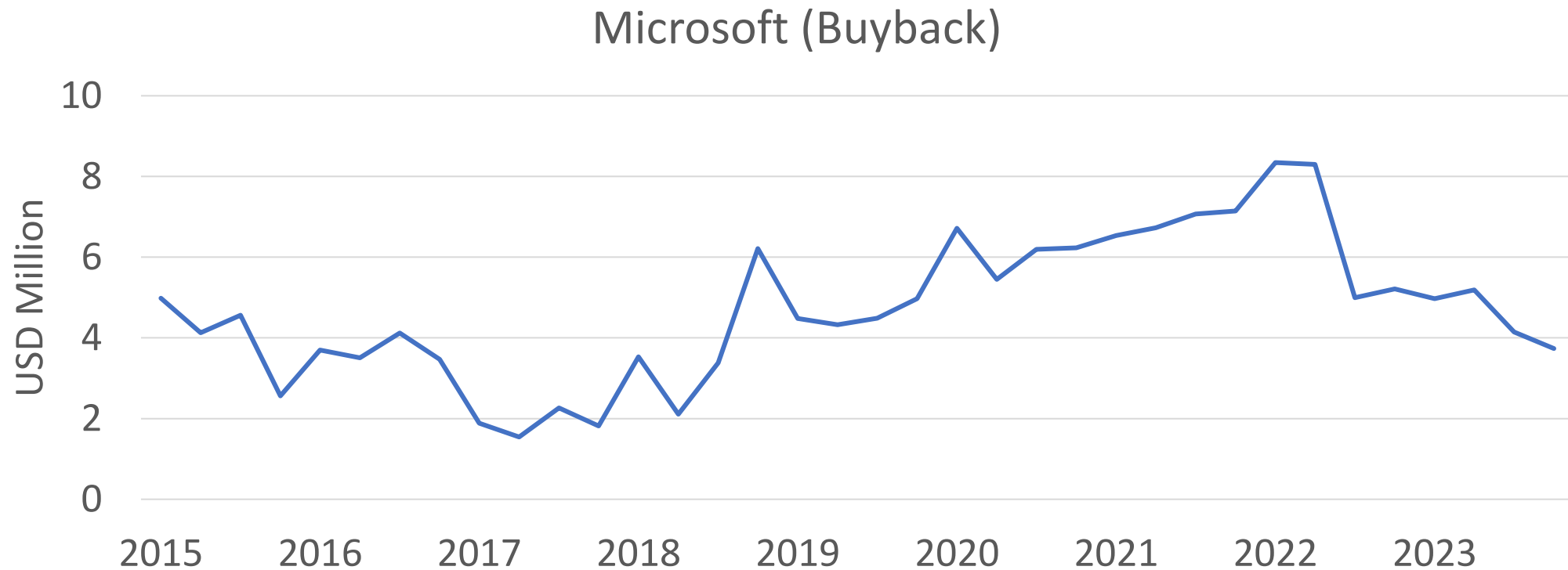
Ex-Dividend Date: 02/14/2024

Annual Dividend USD 3.00

Dividend Yield 0.75%

Microsoft Buyback History

- USD 6.233 Billion for Dec. 31, 2020



Microsoft Stock Split History

Date	Ratio
09/21/1987	2 for 1
04/16/1990	2 for 1
06/27/1991	3 for 2
06/15/1992	3 for 2
05/23/1994	2 for 1
12/09/1996	2 for 1
02/23/1998	2 for 1
03/29/1999	2 for 1
02/18/2003	2 for 1

Mitsubishi Financial Group, Inc.

Dividend History

Ex/EFF DATE	TYPE	CASH AMOUNT	DECLARATION DATE	RECORD DATE	PAYMENT DATE
03/30/2023	Cash	\$0.110498	03-10-2023	03/31/2023	07/13/2023
09/29/2022	Cash	\$0.117682	09/14/2022	09/30/2022	12/15/2022
03/30/2022	Cash	\$0.106353	03/14/2022	03/31/2022	07-11-2022
09/29/2021	Cash	\$0.119172	09/15/2021	09/30/2021	12/16/2021
03/30/2021	Cash	\$0.112951		03/31/2021	07-12-2021
09/29/2020	Cash	\$0.119898		09/30/2020	12/17/2020
03/30/2020	Cash	\$0.116001		03/31/2020	07-10-2020

Ex-Dividend Date: 03/30/2023 Annual Dividend USD 0.196 Dividend Yield 3.71%

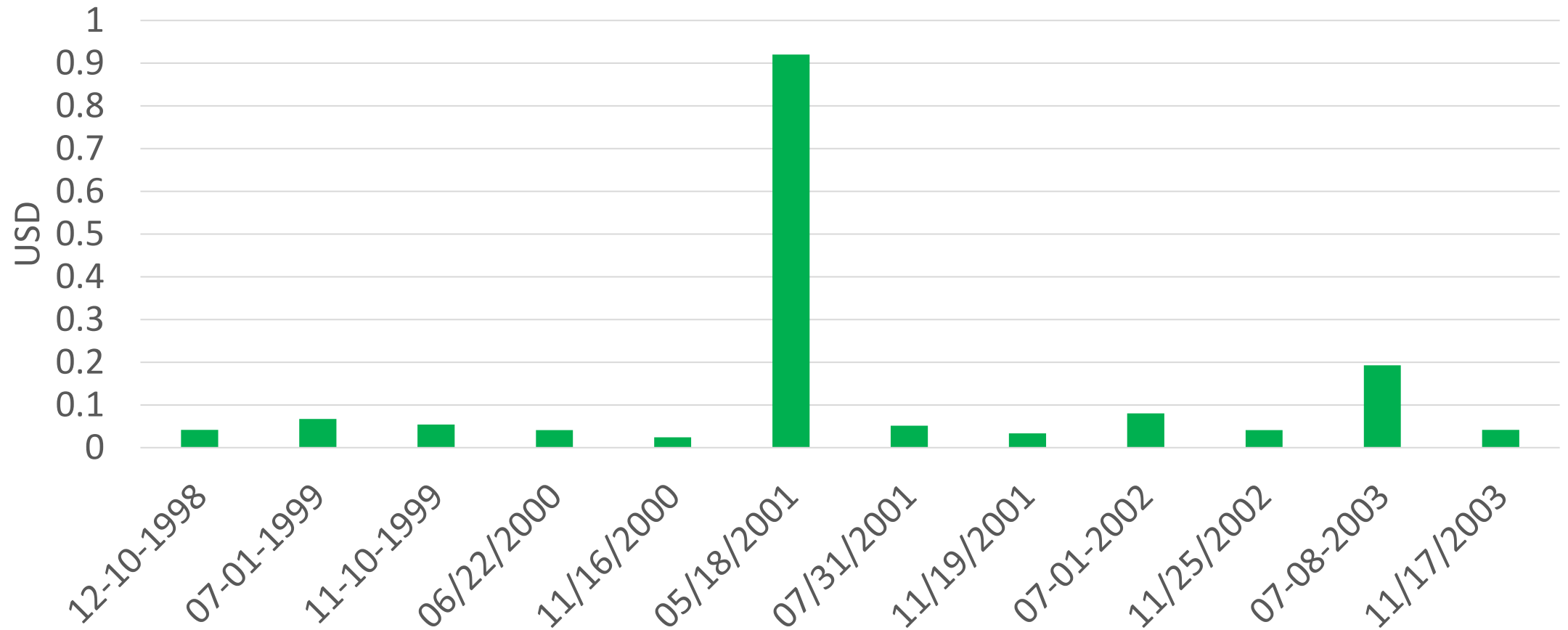
Lenovo Group: Dividend (Hong Kong)

	Lenovo Group	Industry
Dividend (Yield)	2.80%	3.72%
Payout Ratio	45.34%	9.62%
Annualized payout	0.281	-
Annualized Growth Last 5 Years	1.7%	3.48%

Lenovo Group: Dividend History

Ex/EFF DATE	TYPE	CASH AMOUNT	DECLARATION DATE	RECORD DATE	PAYMENT DATE
11/17/2003	Cash	\$0.0414198		11/19/2003	12-12-2003
07-08-2003	Cash	\$0.1926409		07-10-2003	08/21/2003
11/25/2002	Cash	\$0.0410735		11/27/2002	12/27/2002
07-01-2002	Cash	\$0.0800315		07-03-2002	08/28/2002
11/19/2001	Cash	\$0.0333538		11/21/2001	12/27/2001
07/31/2001	Cash	\$0.0513936		08-02-2001	09-10-2001
05/18/2001	Cash	\$0.9199743		05/22/2001	06/13/2001
11/16/2000	Cash	\$0.0241488		11/20/2000	12/28/2000
06/22/2000	Cash	\$0.0410564		06/26/2000	07/26/2000

Lenovo Group: Dividend Chart



Hitachi Ltd. Dividend History

Ex-Dividend Date	Dividend	EPS Payout Ratio	Type	Payment Date	Yield
Mar 28, 2024	80	31%	Final Payment	Jun 03, 2024	1.14%
Sep 28, 2023	80	107%	Interim Payment	Nov 27, 2023	1.58%
Mar 30, 2023	75	59%	Final Payment	Jun 02, 2023	2.00%
Sep 29, 2022	70	182%	Interim Payment	Nov 29, 2022	2.15%
Mar 30, 2022	65	49%	Final Payment	Jun 02, 2022	2.03%
Sep 29, 2021	60	47%	Interim Payment	Nov 29, 2021	1.66%
Mar 30, 2021	55	93%	Final Payment	Jun 02, 2021	1.96%
Sep 29, 2020	50	22%	Interim Payment	Nov 30, 2020	2.68%
Mar 30, 2020	50	-36%	Final Payment	Jun 08, 2020	2.92%

Hitachi Ltd: Dividend Policy

- Hitachi sets dividends by taking into consideration a range of factors, including its financial condition, profitability and payout ratio.
- This policy is motivated by the desire to ensure the availability of sufficient internal funds for making investments in R&D and plant and equipment that are essential for maintaining competitiveness and improving profitability based on medium- and long-term plans, as well as to ensure the stable growth of dividends.
- Hitachi has adopted a flexible stance toward supplementing dividends with the repurchase of its own shares, taking funding requirements based on business plans, market conditions and other factors into consideration.
- Hitachi will repurchase its own shares in order to implement a flexible capital strategy, including business restructuring, to maximize shareholder value.

Source: <https://www.hitachi.com/>

BP Dividend History

Year Ending:	31/12/2023	31/12/2022	31/12/2021	31/12/2020	31/12/2019
Dividend payments					
Q4:	\$0.4362	\$0.36036	\$0.3276	\$0.315	\$0.615
Q3:	\$0.4362	\$0.36036	\$0.3276	\$0.315	\$0.615
Q2:	\$0.3966	\$0.3276	\$0.315	\$0.63	\$0.615
Q1:	\$0.3966	\$0.3276	\$0.315	\$0.63	\$0.615
Total dividend: \$	1.6656	1.37592	1.2852	1.89	2.46
Dividend metrics					
Dividend growth:	21.05%	7.06%	-32.00%	-23.17%	1.23%
Dividend yield:	4.66%	4.79%	5.66%	9.48%	7.87%
Dividend cover:	3.091979	-0.56689	1.742919	-3.83	0.48
EPS	5.15	-0.78	2.24	-7.2387	1.1808
Market Price	35.7462	28.7075	22.7084	19.9448	31.2584

Dividend Yield: Dividend/Market Price; Dividend Cover: EPS/Total Dividend; Dividend Pay out Ratio: Dividend/EPS

BP Stock Dividend Program

- On 4 February 2020, the Directors of BP p.l.c. announced that the interim dividend for the fourth quarter 2019 would be USD 0.1050 per ordinary share (USD 0.630 per ADS). This interim dividend is to be paid on 27 March 2020 to shareholders on the share register on 14 February 2020.
- Dividend is payable in cash in sterling to holders of ordinary shares and in US dollars to holders of ADSs.
- Board decided not to offer a scrip dividend alternative in respect of the fourth quarter 2019 dividend.
- Dividend reinvestment plans have been made available for this dividend for ordinary shareholders and ADS holders (subject to certain exceptions) to receive additional BP shares.
- Sterling dividends payable in cash will be converted from US dollars at an average of the market exchange rate over the four dealing days from 10 to 13 March 2020 (GBP 1 = USD 1.28742). Accordingly, the amount of sterling dividend payable in cash on 27 March 2020 will be: 8.1558 pence per share.

Compushare (Australia) Dividend History

Year	Dividend	Record date	Payment date	AU cents per share	Franking %
2024	Interim	21-Feb	20-Mar	40c	20%
2023	Final	23 August	18-Sep	40c	Unfranked
2023	Interim	22 February	21-Mar	30c	Unfranked
2022	Final	17 August	12-Sep	30c	Unfranked
2022	Interim	16 February	17 March	24c	40%
2021	Final	18 August	13 September	23c	60%
2021	Interim	17 February	18 March	23c	100%
2020	Final	19 August	14 September	23c	30%
2020	Interim	19 February	19 March	23c	30%
2019	Final	21-Aug	16 September	23c	30%
2019	Interim	20 February	15 March	21c	30%

Franking %: Dividend from a firm's taxed earnings is fully franked dividend. Franked dividend eliminates double taxation. Franking credit is applicable for investors. Franked Credit = $\left[\frac{\text{Dividend received}}{1 - \text{tax rate}} \right] - \text{Dividend received}$
Holding one share will give a franking credit of 10 AUD cents. $[(40/0.8) - 40]$

Compushare (Australia) Dividend History

Year	Dividend	Record date	Payment date	AU cents per share	Franking %
2018	Final	22 August	17 September	21c	100%
2018	Interim	21 February	16 March	19c	Unfranked
2017	Final	23 August	18 September	19c	Unfranked
2017	Interim	27 February	22 March	17c	30%
2016	Final	17 August	13 September	17c	20%
2016	Interim	22 February	16 March	16c	100%
2015	Final	20 August	15 September	16c	25%
2015	Interim	23 February	18 March	15c	20%
2014	Final	21 August	16 September	15c	20%
2014	Interim	24 February	18 March	14c	20%
2013	Final	26 August	17 September	14c	20%
2013	Interim	25 February	19 March	14c	20%
2012	Final	20 August	11 September	14c	60%
2012	Interim	25 February	19 March	14c	60%
2011	Final	22 August	13 September	14c	60%
2011	Interim	22 February	16 March	14c	60%

Dividend Reinvestment Plan

- In January 2013, Computershare Limited announced that it had introduced a Dividend Reinvestment Plan (DRP) which provides shareholders with the opportunity to reinvest all or part of their dividends in additional Computershare shares, free of brokerage and other transaction costs.
- Number of DRP shares investors receive will be calculated by dividing the amount of dividend that they have elected to participate in the DRP by the DRP share price (calculated in accordance with the DRP plan rules), rounded down to the nearest whole share.
- Any residual cash balance will be carried forward to the next dividend payment
- Participation is optional

Example: Repurchase

- Company A has INR 6 million in excess funds. The company wishes to distribute these funds through the repurchase of stock. Presently it has 2,400,000 shares outstanding, and the market price per share is INR 25. It plans to repurchase 10 percent of its shares (240,000 shares).
- Amount distributed through share repurchase = Repurchase price x n
- $\text{Repurchase price} = \frac{\text{Market capitalization}}{(\text{Net share})} = \frac{(25 \times 2.4 \text{ million})}{(2.4 \text{ million} - 240,000)} = \text{INR } 27.78$
- $\text{Repurchase price} = \frac{\text{Share price}}{(1 - \% \text{ of repurchase})} = \frac{25}{(1 - .1)} = \text{INR } 27.78$
- Amount distributed through share repurchase = $27.78 \times 240,000 = \text{INR } 6,667,200$ = Amount used from retained earnings
- Cash dividend alternatively will be: $27.78 - 25 = \text{INR } 2.78$ per share
 - Price per share after cash dividend = $25 - 2.78 = \text{INR } 22.22$

Example: Stock Dividend

- Current Market Price = INR 66; Equity dividend declared = 10%
- Number of shares issued as dividend = 1,000
- Value of premium per share (66 – 1 par value) = INR 65

Before Stock Dividend	
Shares (INR 1 par, 10,000 shares)	10,000
Share premium	200,000
Retained earnings	290,000
Total equity	500,000

After Stock Dividend	
Shares (INR 1 par, 11,000 shares)	11,000
Share premium	265,000
Retained earnings	224,000
Total equity	500,000

Market price after stock dividend = pre-share dividend price / (1+% of dividend) = (66 / 1.1) = INR 60 or
Total market value prior to stock dividend / No. of shares after stock dividend = 660,000 / 11,000 = INR 60

Example: Stock Split

- Current market price INR 60
- Stock split ratio 2:1
- Par Value after split = $8 / 2 = \text{INR } 4$; No. of shares after split = $250,000 \times 2 = 500,000$

Before Stock Split	
Shares (INR 8 par, 250,000 shares)	2,000,000
Share premium	1,600,000
Retained earnings	8,400,000
Total equity	12,000,000

Before Stock Split	
Shares (INR 4 par, 500,000 shares)	2,000,000
Share premium	1,600,000
Retained earnings	8,400,000
Total equity	12,000,000

Example: Reverse Stock Split

- Current market price INR 60
- Stock split ratio 1:2
- Par Value after split = $8 \times 2 = \text{INR } 16$; No. of shares after split = $250,000 / 2 = 125,000$

Before Stock Split	
Shares (INR 8 par, 250,000 shares)	2,000,000
Share premium	1,600,000
Retained earnings	8,400,000
Total equity	12,000,000

Before Stock Split	
Shares (INR 16 par, 125,000 shares)	2,000,000
Share premium	1,600,000
Retained earnings	8,400,000
Total equity	12,000,000

Example: Stock Dividend

- Current market price INR 60; Stock dividend 20%
- Stock dividend = $250,000 \times 0.2 = 50,000$ shares
- Stock value (Par) after dividend increases by $8 \times 50,000 = \text{INR } 400,000$
- Share value (Premium) after dividend increases by $(60-8) \times 50,000 = 52 \times 50,000 = \text{INR } 2,600,000$

Before Stock Dividend	
Shares (INR 8 par, 250,000 shares)	2,000,000
Share premium	1,600,000
Retained earnings	8,400,000
Total equity	12,000,000

Before Stock Dividend	
Shares (INR 8 par, 300,000 shares)	2,400,000
Share premium	4,200,000
Retained earnings	5,400,000
Total equity	12,000,000

Market price after stock dividend = $60 / 1.2 = \text{INR } 50$

Summary

Legend:

 No change

 Increase

 Decline

	Stock Dividend	Stock Split	Reverse Stock Split	Stock Repurchase
Par Value per Share				
Market Price per Share				
Number of Shares				
Common Stock				
Additional Paid-in Capital				
Retained Earnings				
Earning Per Share				
Dividend Per Share (Unstable dividend policy)				